

INTERNAL OPERATIONAL PROTOCOL

Qantara ASB - Primary Market Execution Run-Book

COVERAGE: Multi-Billion Dollar African Supranational Issuance

TARGET ISSUERS: Africa Finance Corporation (AFC), BADEA, Afreximbank, BOAD

OBJECTIVE: Optimize institutional order flow, mitigate New Issue Premium (NIP) decay, and prioritize SFDR Article 8 allocations during live syndication.

PHASE 1: Pre-Launch Book Monitoring (T-2 Hours to Launch)

Objective: Establish fair value and independent pricing baseline prior to Initial Price Thoughts (IPTs).

- **Terminal Setup:** Initialize Bloomberg <IMGR> (Inventory Management) for live syndicate updates and <DES> for covenant/prospectus review.
- **Peer Curve Mapping:** Construct the baseline pricing matrix. Extract secondary market curves for highly correlated regional sovereigns (e.g., Ivory Coast, Senegal) and equivalent supranationals to establish a synthetic fair value.
- **NIP Calculation:** Calculate the implied New Issue Premium by comparing lead managers' IPTs against the generated synthetic fair value.
- **Deliverable:** Flash pre-pricing note dispatched to the Portfolio Manager (PM) with optimal entry levels.

PHASE 2: Order Book Aggregation (Live Syndication Window)

Objective: Monitor book momentum, track oversubscription, and secure strategic allocations.

- **Momentum Tracking:** Log book size milestones dynamically (e.g., \$1bn → \$2.5bn → \$4bn) to anticipate pricing revisions (tightening from IPTs to Official Guidance).
- **ESG Priority Stratification:** Implement real-time cross-referencing of the use-of-proceeds framework against Qantara's SFDR Article 8 mandates. Flag green, social, or sustainability-linked tranches for priority order routing.
- **Drop-Out Modeling:** Model expected investor attrition rates at tighter pricing thresholds (e.g., projecting book contraction if guidance moves from $T + 200$ bps to $T + 175$ bps).

PHASE 3: NIP Mitigation & Final Allocation (Pricing Phase)

Objective: Finalize order sizing to counter scale-backs and protect secondary market performance.

- **Compression Calculus:** Analyze the final oversubscription ratio relative to the price tightening to project the final secondary market clearing level.

- **Scale-Back Adjustment:** Generate the final allocation sizing recommendation for the PM.
Rule: If the book is tracking to be $4x$ oversubscribed, dynamically inflate the initial nominal order size to absorb the expected syndicate scale-back, ensuring the final allocated amount matches the target portfolio weight.
- **Secondary Market Protection:** Evaluate the projected allocation mix (Fast Money / Hedge Funds vs. Real Money / Pension Funds) to gauge the risk of immediate secondary market widening upon the break.
- **Deliverable:** Final Execution Log and Post-Pricing Risk Summary integrated into the portfolio management system.

Protocol strictly confidential. Designed for Qantara ASB execution workflows.